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WHEN RIGHT IS LEFT

The BJP's Economic Model in New India

It is widely believed that the Narendra Modi government was given the idea of demonetisation—which caused the withdrawal of 86 per cent of the Indian currency in circulation on 8 November 2016—by a Pune-based think tank, ArthaKranti Pratishthan (Institution for Economic Revolution). As Anil Bokil, a member of the think tank later recalled, the proposal for withdrawing all high-denomination cash from the economy as a lightning strike on black money was first presented to Modi in July 2013, when he was still chief minister of Gujarat.[1] His decision to go through with it as prime minister has been termed 'one of the unlikeliest economic experiments in modern Indian history'.[2]

When Vajpayee Wanted Demonetisation

The idea of demonetisation is an old one in the BJP's economic thinking. As far back as 1971, Atal Bihari Vajpayee, then Jan Sangh president, announced that his party would demonetise currency to eliminate black money if it was voted to power. In an interview to a business daily, the BJP's first future prime minister said, 'in order to unearth the hoarded black money let us forthwith demonetise high denomination currency'.[3] Demonetisation as a crucial tool for controlling black money and tax evasion had emerged as a central theme in the Jan Sangh's economic ideation. In this early version,